

The Augusta Rule Strategy

Renting your home to your business — the real mechanics, the real requirements

In this report:

- ✓ What the Augusta Rule actually is and where it comes from in the tax code
- ✓ The three requirements that determine whether the income is truly tax-free
- ✓ What documentation the IRS expects — and what happens without it
- ✓ The most common mistakes that invalidate an otherwise legitimate strategy
- ✓ Why professional coordination matters more here than in most S-Corp strategies

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INTRODUCTION

The Augusta Rule gets more attention than almost any other S-Corp strategy. It is frequently described online as an easy, passive way to generate tax-free income — rent your home to your business, keep the money, pay nothing on it.

That description is not wrong. But it leaves out the parts that determine whether the strategy actually holds up.

The Augusta Rule is a legitimate, legal provision in the tax code. When it is properly executed, it does exactly what it promises: the business deducts a rent expense, and the owner receives the rental income tax-free. The problem is not the strategy — the problem is the casualness with which most people implement it.

This report explains the real mechanics, the documentation requirements, and the failure points that turn a legitimate strategy into an audit problem.

WHAT THE AUGUSTA RULE ACTUALLY IS

The Augusta Rule is an informal name for IRC Section 280A(g), a provision that has existed in the tax code since 1976. It states that if a taxpayer rents their personal residence for fewer than 15 days during the tax year, the rental income is excluded from gross income entirely.

The name comes from Augusta, Georgia — home of the Masters Tournament. Homeowners in the area historically rented their properties to tournament visitors during Masters week. The provision was designed, in part, to allow those homeowners to receive rental income without tax consequences for short-term rentals.

The provision is not limited to Augusta. Any homeowner who rents their residence for 14 days or fewer in a calendar year can exclude the rental income under this rule — regardless of where they live or who the tenant is.

For S-Corp owners, this creates a specific planning opportunity: the tenant can be your own corporation. The business rents space from you for legitimate business purposes, deducts the expense, and pays you rent that you do not include in your income.

Legal Foundation

IRC §280A(g) is a legitimate, explicitly codified provision — not a loophole or an aggressive position. Courts and the IRS have addressed it in multiple contexts. It works as described when the requirements are met. It fails — often badly — when they are not.

THE THREE REQUIREMENTS

Requirement 1: The 14-Day Hard Limit

The tax-free exclusion applies only when the total rental days in a calendar year are 14 or fewer. Day 15 changes everything.

The moment total rental days reach 15, the income exclusion disappears entirely. The income becomes taxable — all of it, not just the amount above 14 days. There is no partial exclusion, no proportional treatment, no grace period. The entire rental income for the year becomes reportable.

This is the most commonly violated requirement — typically not from carelessness but from enthusiasm. An owner who understands the strategy sometimes tries to maximize it by scheduling more business events. The moment they cross 14 days, they have converted a tax-free income stream into fully taxable rental income. The business still has the deduction; the owner now has taxable income they did not plan for.

Fourteen days is a hard ceiling. Most owners who use this strategy plan for four to six events per year — enough to generate meaningful rental income while maintaining a significant buffer below the limit.

Requirement 2: Fair Market Rental Value

The rent must reflect what the business would pay an unrelated third party for equivalent space and use. It cannot be inflated to generate a larger income exclusion. It cannot be nominal to be convenient.

Determining fair market rent for a home used for business meetings requires some research. The reference point is comparable commercial or meeting space in the local market — conference rooms, event spaces, similar-sized residential spaces rented for business purposes. The rate should be defensible on that basis.

The IRS does not require a precise appraisal. They require reasonableness. An owner charging \$400 per day for a 2,500 square foot home in a market where comparable meeting space rents for \$150 to \$250 per day has a problem. An owner charging a rate supported by local comparables does not.

Document the research. Keep a record of comparable rates found — a few screenshots of local event space rental rates, a printout from a vacation rental platform showing comparable properties, or a note from a local venue showing their hourly or daily rate. This documentation is what allows you to defend the rate if questioned.

Requirement 3: Legitimate Business Purpose

The rental must be for genuine business use. This means an actual business event conducted at the property — a meeting with a defined agenda, participants with roles in the business, and business activities that would be conducted regardless of the location.

Qualifying uses typically include:

- Annual or quarterly board meetings with formal agendas and minutes
- Strategic planning sessions with defined business objectives
- Staff training events or team meetings
- Leadership retreats with documented business program

Non-qualifying uses are any event where the primary purpose is personal, social, or entertainment — even if business is discussed. A family holiday gathering where the owner mentions Q4 projections is not a business meeting. A spouse's birthday party with a few business acquaintances in attendance is not a business meeting. The primary purpose must be business.

This is where many Augusta Rule implementations fail. The 'business meeting' is a thinly documented social event, or the agenda is created after the fact to support a deduction for something that was clearly personal. The IRS has seen every variation of this. The documentation needs to reflect reality.

Real-World Example

An owner scheduled four annual planning sessions at her home — one per quarter. Each session had a formal agenda distributed in advance, three or four business participants, documented discussion items, and written meeting notes. She charged her S-Corp \$350 per day, a rate

supported by comparable event spaces in her market. Payment was made by ACH from the business account to her personal account within two weeks of each event. All four sessions were well under the 14-day limit. The strategy held up completely under examination because every element was documented.

WHAT DOCUMENTATION THE IRS EXPECTS

The Augusta Rule is not self-executing. It requires documentation that demonstrates every element of the transaction was legitimate. An examiner reviewing an Augusta Rule claim will typically look for:

- 1. Written rental agreement**

A formal agreement between the homeowner (you personally) and the corporation. This documents the rental dates, the rate, the permitted use, and the payment terms. It does not need to be complex — a one to two page document is sufficient — but it must exist and must have been executed before the rental occurred.

- 2. Comparable rate support**

Documentation showing the basis for the rental rate — comparable conference room rates, local event space pricing, or similar residential rental rates in the area. This can be as simple as printed or saved screenshots from venue websites or rental platforms.

- 3. Business purpose documentation**

A written agenda for each event, the names and business roles of participants, and a summary of what was discussed or decided. Meeting minutes, if kept, serve this purpose. An email invitation with a subject line and agenda is a reasonable substitute for informal meetings.

- 4. Actual payment record**

Proof that money moved from the business account to your personal account — a bank statement, ACH confirmation, or cleared check. Journal entries without cash movement are not sufficient. The IRS specifically looks for actual cash flow, not bookkeeping entries.

Documentation Is the Strategy

The Augusta Rule is not complex to execute. It is complex to document. The distinction matters because an undocumented Augusta Rule implementation is essentially an undocumented rental deduction by the business and undisclosed income by the owner — both of which create problems. Documentation is not optional paperwork. It is the mechanism that makes the strategy work.

THE FAILURE POINTS

Exceeding 14 Days

Already discussed above. This converts all rental income to taxable income. The fix going forward is simple — count carefully and stay under the limit. There is no retroactive remedy for a year where the limit was exceeded.

Journal Entries Without Cash Movement

A surprisingly common failure. The owner books a journal entry showing rent paid by the business and rent received by the owner — but no money actually moves. The IRS treats the absence of actual cash flow as evidence that the transaction was not real. Actual payment, documented through bank records, is non-negotiable.

Inflated Rates

Charging \$800 per day for space that comparables would price at \$200 creates an obvious problem. The excess above fair market value cannot be excluded under §280A(g) and will be treated as taxable income. More seriously, an inflated rate calls the legitimacy of the entire transaction into question.

No Coordination With Overall Strategy

The Augusta Rule interacts with the owner's compensation structure, overall income, and tax filing. A payment that the IRS determines should have been treated as additional wages — rather than rent — has payroll tax implications beyond just income reporting. Implementing the strategy without considering how it interacts with the rest of the tax structure creates risk that may not be apparent until an examination.

Events That Are Personal in Substance

Calling a personal event a business meeting does not make it one. The IRS looks at the substance of the event — who attended, what was discussed, whether there was a genuine business purpose. An event that was primarily social, with business discussion tacked on to justify the rental, will not survive scrutiny. The documentation needs to reflect the actual nature of the event.

A WORD ON PROFESSIONAL COORDINATION

The Augusta Rule is one of the S-Corp strategies where professional review adds the most value relative to its complexity.

The strategy itself is not complicated. The implementation — determining a defensible rental rate, drafting an appropriate agreement, structuring the business events correctly, coordinating the payment and reporting — involves details that vary by situation and benefit from professional judgment.

Owners who implement this strategy without coordination sometimes find that a technically legal approach has been executed in a way that looks problematic — inflated rates, inadequate documentation, events that do not clearly qualify. The Augusta Rule compliance toolkit included in the Business IQ Edge bundle addresses these implementation details specifically, with template documents designed to meet the IRS documentation standard.

SUMMARY

The Augusta Rule is a legitimate tax strategy with a clear legal foundation. When properly implemented, it creates a real tax benefit: the business gets a deduction, and the owner receives rental income that is excluded from gross income — free of both income tax and payroll tax.

The requirements are specific and non-negotiable: 14 days maximum, fair market rent, legitimate business purpose, and thorough documentation. Meeting all four creates a solid, defensible strategy. Failing any one of

them — particularly the documentation requirement — converts the strategy from a tax benefit into a compliance problem.

The gap between a working Augusta Rule strategy and a failing one is almost always documentation quality. The strategy itself is sound. The execution is where it breaks down.

Ready to Take the Next Step?

Augusta Rule compliance templates — including a rental agreement, comparable rate documentation framework, and event documentation checklist — are included in the Business IQ Edge Toolkit.

businessiqedge.com/tebp

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